

18. *Stanley, et al, v. Lake Chalet Homeowners Association, et al*, Case No. CIVSB2320918
Motions to be Relieved as Attorney of Record for Plaintiffs
6/2/26, 9:00 a.m., S-17

This matter was continued from 5/22/26 to allow for either supplemental declaration or appearance for in camera review of the good cause for the requested relief

The Court would again **CONTINUE** or seek in camera discussion of the facts in support.

Here, the Lubin Pham + Caplin firm seeks to be relieved as counsel for Plaintiffs Timothy and Catherine Stanley. The declarations submitted in support only cite the law and offer in camera discussion. While the Court is cognizant of the protections related to attorney-client relationship, the Court will need *some* sort of averment establishing good cause pursuant to rule 1.16(b) of the Rules of Court. As currently worded, the submitted declarations are insufficient. Further, the Court notes a declaration submitted by the Plaintiffs asserting a *lack* of good cause. (Stanley Decl., ¶4 [“Attorney has not demonstrated sufficient grounds to justify . . .”]; also Stanley Decl., ¶7 [no meaningful discussion].) Thus, it appears that the assertion of good cause is disputed.

19. *Minguela, et al, v. American Quartz Max Corp.*, Case No. CIVSB2226990
Motion for Preliminary Approval of Class Action Settlement
6/2/26, 9:00 a.m., Dept. S-17

This matter was continued from its prior hearing date of May 11, 2026, to allow sufficient notice on the motion

Tentative Ruling

The Court would **GRANT**.

Preliminary Approval of Class Action Settlements in General

Settlement of a class action requires court approval. (Cal. Rules of Court, rule 3.769.) The moving party must demonstrate that “the settlement is fair, adequate and reasonable.” (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 126; *Reed v. United Teachers Los Angeles* (2012) 208 Cal.App.4th 322, 337.) The court has “broad discretion in making this determination.” (*In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.) Relevant factors the court may consider include “the strength of the plaintiffs’ case, the risk, the expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental

participant, and the reaction of the class members to the proposed settlement.” (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) This list of factors “is not exhaustive and should be tailored to each case.” (*Ibid.*) The court may “engage in balancing and weighing of factors depending on the circumstances of each case.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 245, overruled on other grounds in *Hernandez v. Restoration Hardware* (2018) 4 Cal.5th 260, 269.)

“Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement.” (*Wershba, supra*, 91 Cal.App.4th at p. 245, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801.)

“The court must therefore scrutinize the proposed settlement agreement to the extent necessary to “reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, quoting *Officers for Justice v. Civil Service Com’n* (9th Cir. 1982) 688 F.2d 615, 625.)

Nevertheless, the settlement is entitled to a “presumption of fairness . . . where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (*Kullar, supra*, 168 Cal.App.4th at p. 128, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1802.)

Provisional Class Certification at Preliminary Approval

Although a lesser standard can be used to provisionally certify a settlement class, the court still needs to review and consider each element for certification. (*Global Minerals & Metals Corp. v. Superior Court* (2003) 113 Cal.App.4th 836, 859.) But, as settlement eliminates the need for trial, “the case management issues inherent in ascertainable class determination need not be confronted.” (*Ibid.*)

A class should be certified when “the question is one of a common or general interest, of many persons, or when parties are numerous and it is impracticable to bring them all before court.” (Code Civ. Proc., § 382.) There must be both an ascertainable class and a well-defined community of interest, which includes predominate questions of law or fact, class representatives with claims typical of the class, and class representatives who can adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

Settlement Notice

“If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any

objections to the proposed settlement.” (Rules of Court, rule 3.769(f); *Wershba v. Apple Computer, Inc.*, *supra*, 91 Cal.App.4th at p. 251.)

The manner of notice shall be by means reasonably calculated to apprise the class members of the settlement. (Rules of Court, rule 3.766(f).) The standard is “whether the notice has ‘a reasonable chance of reaching a substantial percentage of the class members.’” (*Wershba*, *supra*, 91 Cal.App.4th at p. 251.) The court must consider the interest of the class, type of relief obtained, the state of the individual class members, the costs of notifying the class members, the resources of the parties, the possible prejudice to the class members who do not receive notice, and the *res judicata* effect on the class members. (Rules of Court, rule 3.766(e).)

The Proposed Settlement

Here, Plaintiff Minguela first submitted a notice letter to the Labor and Workforce Development Agency (LWDA) in anticipation of a Private Attorneys General Act (PAGA) cause of action on November 30, 2022. On that same date, on April 20, 2023, he filed this putative wage-and-hour class action. After the exhaustion of administrative remedies, he filed a First Amended Complaint to add a cause of action for civil penalties pursuant to the Private Attorneys General Act (PAGA).

In furtherance of settlement, the Plaintiff filed a Second Amended Complaint (SAC) and added Plaintiff Moore. The operative SAC, here, now alleges class violations as to (1) minimum wages; (2) overtime wages; (3) rest breaks; (4) meal periods; (5) maintenance of accurate wage statements; (6) wage timeliness; (7) final pay; (8) reimbursements; (9) furnishing of accurate wage statements; as well as (10) violation of the unfair competition law (UCL) and (11) civil penalties pursuant to the PAGA. The UCL and PAGA claims are underpinned by alleged violations relating to the same alleged wage-and-hour violations.

The parties *initially* reached a settlement, which was later reduced to long form agreement by October of 2024. That settlement was granted preliminary approval on January 24, 2025. (See Tentative, Jan. 24, 2025.)¹ Unfortunately, that settlement could not be effectuated, and the order approving *that* settlement was stricken on December 23, 2025. (Minute Order, Dec. 23, 2025.) Eventually, after substitution of new counsel for Defendant, a *new* settlement was entered into. This motion seeks approval of that new settlement.

The class size is estimated at 154.² For purposes of settlement, the class period is from November 30, 2018, through the date of preliminary approval. The PAGA period is from

¹ The Court incorporates by this reference the prior tentative ruling’s assessment of adequate discovery and its recitation of the historical mediation that led to the initial settlement. (See Tentative, Jan. 24, 2025 at p.4 [discussing discovery, records sampling, and prior mediation with Steve Pearl on May 14, 2024].) The Court notes that the settlement terms remain largely the same as the prior iteration.

² Troublingly, although a number for PAGA workweeks is provided, no estimate is given regarding the number of aggrieved employees for PAGA purposes. (Dordi Decl., ¶170 [1,163 PAGA wage statements].) Given the differing

November 30, 2021, through the date of preliminary approval. These class and PAGA periods appear consistent with the various statutes of limitation based on the filing dates of the various suits at issue and appear appropriate.

In general, the requested settlement proposed the following terms: Defendants will pay a gross, non-reversionary settlement amount of \$150,000.00, from which will be deducted (1) \$50,000.00 for Class Counsel's attorneys' fees (1/3rd of the total); (2) costs not to exceed \$15,000.00;³ (3) Plaintiffs' enhancement fees of \$15,000.00 (\$7,500 for each Plaintiff); (4) claims administration fees not to exceed \$15,500.00; and (5) PAGA penalties of \$20,000.00 (of which 75%, or \$15,000, will go to the LWDA and 25%, or \$5,000, to the aggrieved employees).

The parties estimate this will leave a wage-and-hour only net settlement amount of a non-reversionary \$44,500.00. This amount would be split by the class of approximately 154 employees in proportionate shares determined by number of workweeks within the Settlement Class Period. Thus, the general average per employee would be \$288.96. Twenty percent (20%) of the net settlement payments would be considered wages with the remaining eighty percent (80%) considered representative of penalties and interest. (Settlement, 5.5.)

Presuming, for arguments sake, that there are exactly the same number of PAGA aggrieved employees, the general average PAGA payout would be \$32.47. Again, Final approval will be contingent on the provision of specific information regarding the PAGA aggrieved employees and the fairness of their payout.

The amount of the settlement is appropriate given the strength of Plaintiffs' case, especially in light of Plaintiffs' counsel's assessment of maximum exposure. (Dordi Decl., ¶170; also Melmed Decl., ¶176 [submitted with the prior approval motion].) However, the lower actual settlement appears fair and reasonable in light of Defendants' arguments; the likelihood of prevailing on all claims; and when calculated to include risks that the class would not be certified and the potential appeal of any judgment should Plaintiffs be successful in this venue. (Dordi Decl., ¶¶171-74; also Melmed Decl., ¶177-79.) Given the presumption of fairness, the Court would find the figure sufficient to satisfy the *Kullar* requirement. Further, adequate discovery and investigation has occurred. There is no evidence of fraud or collusion. Class counsel are well qualified to represent the class. The settlement was reached through an arms-length

statutes of limitations – unless there was absolutely no employee turnover – there would be a *different number* of employees at issue for PAGA purposes. Preliminary approval is provided here solely on the basis that the settlement provides for *pro rata* distribution of the PAGA payout determined by workweeks during the PAGA period. (Settlement, 5.4.) Final approval is contingent on provision of the exact number of PAGA aggrieved employees and workweeks at issue.

³ At final approval, Counsel will provide a breakdown of costs. Notably, any attorney bills submitted in the guise of services of an expert will require explanation and clarification as to why such bills are not properly considered attorneys' fees.

negotiation with the assistance of an experienced and well-respected mediator. The deductions from the gross settlement fund (attorneys' fees,⁴ costs,⁵ administration fee, incentive award, PAGA penalties, and taxes) appear to be reasonable and appropriate and are, therefore, *preliminarily* approved in the "not to exceed" amounts in the motion.

The Court (1) conditionally certifies the Settlement Class for purposes of this settlement; (2) appoints the Melmed Law Group P.C. as Settlement Class Counsel; (3) appoints Ivan Minguela and Randy Moore as Class Representatives; (4) approves Apex Class Action Administration as Settlement Administrator; (5) preliminarily finds the settlement fair, reasonable, and adequate; and (6) approves the form and content of the proposed Class Notice and directs the mailing of the same.

At final approval, Counsel must advise the court of any pending cases that will be affected by approval of the settlement. Counsel must provide proof that the LWDA was properly notified of the PAGA settlement and preliminary approval. Counsel must provide the *exact* number of class members and workweeks for the class settlement and the *exact* number of aggrieved employees and pay periods for the PAGA settlement.

⁴ Counsel must provide a full lodestar analysis in the motion for final approval.

⁵ Costs must be documented. The court does not award costs for LEXIS or Westlaw usage (which are considered items of overhead), faxes (also overhead), or photocopying in excess of \$0.06 per page.